EA Hospitality
Pulse

WEEKLY
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Sunday Foresight

12–18 October 2026

THIS WEEK

Rwanda won Formula One for the 2030s in the week its prices ran 17.2% above last year's, and East Africa's 2027 cost base now spans 4.3% to 17.2%

Plus 7 Big Reads and the forecast ledger

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Daily intelligence for city, bush & beach properties across East Africa

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THE SUNDAY FORESIGHT

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EA Hospitality Pulse · Sunday Foresight · Sun 18 Oct 2026

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Every figure in this issue traces to a named, dated source. Claims are graded Confirmed, Reported or Early signal. Corrections are published, not quietly edited.

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THE SUNDAY FORESIGHT · 18 OCTOBER 2026

Rwanda won Formula One for the 2030s in the week its prices ran 17.2% above last year's, and East Africa's 2027 cost base now spans 4.3% to 17.2%

This week the region sold the next decade. Formula One signed Rwanda for ten years, circuit due early next decade (13 Oct). EAC ministers adopted a 2027–2036 marketing strategy (15 Oct). The same week's statistics describe 2027: urban inflation of 17.2% in Rwanda (NISR, September), 6.8% in Kenya (KNBS, 30 Sep) and 4.3% in Tanzania (NBS, 8 Oct).

> **WHAT EVERYONE IS MISSING**
>
> : nobody sets the cost bases side by side. Rates are quoted in dollars; payroll, power, fuel and food are paid in local currency. A 13-point inflation gap is a margin gap on the same US$ rate, unless the exchange rate offsets it. We hold no Rwandan franc data to say it does (our inference).

THE WEEK'S SIGNALS

1 RWANDA'S PRICES ARE RISING FOUR TIMES AS FAST AS TANZANIA'S

Rwanda's urban CPI was 17.2% in September, up from 15.7%; national CPI was 20.0%. Restaurants and hotels rose 18.9% on the year and the energy index 45% (NISR, reported 12 Oct). Tanzania held at 4.3% (NBS, 8 Oct). Uganda's latest found is 4.1% for August (4 Sep).

So what — put a cost-review date in 2027 Rwanda contracts; price Tanzania as the low-cost base.

City, Bush · RW TZ KE UG · Confirmed (figures) / Inference (margin read) · impact:margin

2 KENYA'S DIESEL COST ROSE WHILE ITS POWER CHARGE EASED

Diesel is KSh227.76 a litre to 14 Nov, up KSh9.90 (EPRA, 15 Oct). Fuel VAT stays 8% for 90 days (Assembly, 14 Oct). October's power add-ons are about KSh4.10 a unit, from KSh4.16 (EPRA, 9 Oct).

So what — budget transfers on diesel, not power, until the 14 Nov review.

All segments · KE · Confirmed (figures) · impact:margin

3 THREE DECADE-LONG PROMISES, ONE UNDECIDED VISA

F1 gave no start year (13 Oct). The EAC single-visa study is due 20 Oct, comments by 30 Nov (EAC council, 15 Oct). Marriott's 18-suite Serengeti camp is dated: November.

So what — underwrite 2027 on dated demand only; treat F1 as 2030s upside.

City, Bush · RW KE UG TZ · Confirmed (announcements) / Inference (weighting) · impact:watch

4 KENYA'S THIRD EBOLA CASE CAME FROM A QUARANTINED CONTACT

A 65-year-old woman in quarantine tested positive; 127 of 130 contacts are traced and Kenya says it is open with no travel restrictions (MoH, 16 Oct).

So what — tell guests the checks (digital forms, screening) before arrival.

City, Bush · KE UG · Confirmed (statements) · impact:risk

5 TANZANIA'S ADVISORY EASED ON TOP OF A RECORD ZANZIBAR AUGUST

The US cut Tanzania to Level 2 on 16 Oct. Zanzibar took 124,481 visitors in August, up 18%, with bed occupancy estimated at 92.9% (OCGS, 8 Sep; an older release).

So what — reopen US quotes for Tanzania; hold Zanzibar peak rates.

Bush, Beach · TZ · Confirmed (figures) · impact:demand

Blind spots: German and French Kenya advice, UK pages for Uganda, Tanzania and Rwanda, four gazettes, Rwanda's and Zanzibar's health ministries, and KNBS August arrivals were not confirmed.

30/90-DAY DEMAND CALENDAR

WLD	20 Oct — EAC visa study due. Don't sell it.
TZ	9 Nov — Tanzania October CPI (our 11 Oct edition). Check the gap.
KE	14 Nov — EPRA review; diesel cap runs to here.
RW	about 10 Nov — Rwanda October CPI (release pattern). Review contracts.
WLD	30 Nov — EAC visa comments due.

If costs run at three speeds, why does one rate card cover them?



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 1 OF 7 · 12 OCTOBER 2026

Someone else is selling your lodge under your own name. The defences were built for other countries.

A report published on 9 October put 1.1 million brand-hijacking adverts against 204,000 hotels in 205 countries. East African properties are already on the pages those adverts lead to, and the three remedies working elsewhere are the three that travel worst.

Type the words Nairobi Serena Hotel into a search box and one of the pages you can reach is not the Nairobi Serena Hotel. It carries the hotel's name as its heading, the address on Kenyatta Avenue, fifty photographs of the property, a room list that runs from Deluxe to Presidential Suite, and a telephone number in large type at the top of the screen inviting you to call now. The number, (866) 238-4218, is a United States toll-free line. The page belongs to GuestReservations.com, which describes itself in small print at the foot of the screen as "an independent travel network offering over 100,000 hotels worldwide" and offers, behind a link, a notice headed Hotel Non-Affiliation. Checked on Sunday, the property page quoted no price at all, only a button marked Today's Low Rate. The company's Nairobi index page is less coy. It lists 91 Nairobi hotels, twenty-one of the first twenty-five with a nightly rate attached, from $110 at the Best Western Nairobi Upper Hill to $431 at the Serena.

This is not an obscure corner of the internet. On Thursday 9 October, PhocusWire published findings from a report by Operto, a hospitality technology company, which counted roughly 1.1 million adverts bidding on hotel brand names in a single thirty-one-day window, from 22 May to 21 June 2026, drawn from Google's own Ads Transparency Center. Those adverts targeted about 204,000 unique hotels across 205 countries. The average affected property faced 3.9 competing adverts on searches for its own name. In North America the figure was 6.6. Nine domains accounted for the whole count, and one of them, GuestReservations.com, accounted for roughly half of it on its own, some 540,000 adverts, with ReservationDesk.com next at about 240,000.

Tim Major, Operto's chief executive, is blunter than the data. "They're actually hijacking the hotel's name," he told PhocusWire. "And if you contact them, they also will say that they're the hotel." The economics are not the familiar commission argument. "Because they charge higher than the best available rate, they're actually getting a

bigger commission in this arrangement too," Major said. On the question of who is responsible, his answer is a shrug with a sharp edge: "All parties will disavow they have anything to do with this group."

East African operators reading that may reasonably assume it is someone else's problem. It is not. GuestReservations maintains individual branded landing pages for the Masai Mara Sopa Lodge, the AA Lodge Masai Mara, the Sentrim Mara Lodge, the JW Marriott Masai Mara Lodge, the Nairobi Safari Club, the Kahama Hotel in Nairobi and a boutique property in Zanzibar, among others. The Sopa page, checked on Sunday, gave the location only as Olemtitia, Talek, with no street address, forty-eight photographs, the same American telephone number, no price, no cancellation terms and no disclosed fees. Its list of amenities still advertises acrylic shields and social distancing measures, which gives some sense of how often these pages are maintained.

Honesty requires a caveat here, and it is a real one. No published breakdown of the 204,000 affected hotels names a single East African country. The report's geography goes as far as the United States at 33 per cent, Italy at 6.2 per cent, then France, Spain and the United Kingdom, and stops. Nor has any Kenyan, Tanzanian or Ugandan operator yet gone on record about interception. What is established is narrower and still serious: the landing pages for East African properties exist, they are indexed, they are reachable from a brand search, and they are run by the single largest bidder in the dataset. Whether a Mara camp loses two bookings a year this way or twenty is not currently knowable from outside the camp.

What is knowable is that the three defences now being tested elsewhere are the three that transfer worst to this region.

The first is consumer law. In July, the San Francisco city attorney, David Chiu, filed suit in the Superior Court against Guest Reservations, Book Online and, significantly, Booking Holdings. The complaint describes the websites as "imitating authentic hotels and scamming travelers into paying significantly higher rates" and documents a room the hotel itself sold for $381 appearing at $595 on one reseller and $526 on the other, with mark-ups running as high as 85 per cent. The city is seeking refunds, an injunction and $2,500 for each violation. It is a strong case and it is a Californian one. A lodge in Narok county has no equivalent forum, and the guest who was overcharged is almost never a Kenyan consumer with standing in a Kenyan court. She is an American or a German who will take the matter to her card issuer, which is the one venue where the lodge becomes the defendant rather than the victim.

The second is the trademark complaint, and it is weaker than most operators believe. Google's policy has long distinguished between a trademark used inside an advert's text, which a brand owner can have removed, and a trademark used as the keyword that triggers the advert, which Google does not generally restrict. Since July 2023 the company has also processed complaints only against specific advertisers and specific adverts rather than across a whole industry, which means each removal is a single removal. Major's description of the result is the most quoted line in his report for a reason. "We play Whac-A-Mole against them." Hoteliers who report an advert see it taken down and a new one appear within days, often from a fresh advertiser account. A registered Kenyan trademark gets the name out of the advertising copy. It does not get the name out of the auction.

The third defence is the only one that reliably works, and it is the one that costs money. A property that bids on its own name occupies the top of its own branded results and pushes the imitators down the page. Operto's case studies show what that is worth: at the Alaska Frontier Inn, predatory presence at the top of branded results fell by 95 per cent and direct bookings rose from 25 to 38 per cent in five months. The general manager, Evan Gorman, framed the loss in terms that will be familiar to anyone who has taken a furious call from a guest at the gate. "Not only were the OTAs costing us in revenue, but also reputation." But paying to defend your own name is a dollar expense charged against a shilling or a Tanzanian shilling cost base, bid against counterparties funded by mark-ups the report puts at 30 to 50 per cent at checkout. The margin asymmetry is the whole game, and it runs the wrong way for an independent camp.

There is a fourth element, and it is the one that should change how an East African general manager reads their own contracts. The San Francisco complaint does not merely allege that the imitator sites behaved badly. It

alleges that Booking Holdings supplied the room inventory and the payment rails that allowed those sites to complete bookings, and earned on each one. Booking Holdings is expected to contest that characterisation, and nothing has been proven. But the allegation, if it holds, describes a closed loop in which a lodge's own distribution agreement is the pipe through which its brand is resold against it. That is a question to put to a market manager in plain language: who may resell this allotment, under what name, and with what disclosure.

The last point is the one that no dataset captures, because the people who keep the datasets live in cities. Operto reviewed 232 complaints filed against GuestReservations.com with the United States Better Business Bureau between July 2023 and May 2026, out of more than 1,089 on file. Forty-six per cent concerned cancellation policies the complainant considered deceptive or false. Thirty-eight per cent said they believed they had booked directly with the hotel. Thirty-four per cent cited hidden fees. Five per cent arrived at the property to find no record of their reservation at all.

Five per cent is a small number in Chicago, where the guest walks to the hotel next door. It is not a small number at a tented camp an hour's drive beyond Talek, reached by a scheduled flight that lands once a day, in high season, when there is no other bed within sixty kilometres. The cancellation finding compounds it: East African lodge terms are long and deposits are large, by necessity, because the fixed cost of holding a tent empty in the Mara is brutal. A guest who believes she bought a flexible rate from the lodge, and who is holding a confirmation that carries the lodge's name and photographs, is not going to accept a seventy-two-hour deadline she never agreed to. The lodge will lose that argument whether or not it was ever a party to the sale.

The practical response this week is cheap and unglamorous. Search your own property's name, in an incognito window, from a browser located in your largest source market rather than from Nairobi, and write down every advertiser above your own website. Click through to each landing page and note whose telephone number appears and whether a non-affiliation notice is visible without hunting for it. Decide deliberately, with a number attached, whether to bid on your own brand, rather than discovering the cost of not bidding through a chargeback. Read the resale and sub-distribution clauses in every wholesale and online agency contract you hold, and ask who is permitted to advertise under your name. Brief reception and the gate on what to do when a guest arrives holding a confirmation that does not exist in your system, because the answer cannot be improvised at eight in the evening.

One more caution, aimed at the evidence rather than the problem. The headline numbers in this story come from a company that sells the remedy. Operto's research is specific, methodologically described and sourced to Google's own transparency archive, which is more than most vendor research offers, and the San Francisco complaint and the Better Business Bureau file are independent of it. But the figures on interception rates, five to twenty-five per cent of bookings, and on nine imitators bidding per hotel, are drawn from Operto's own customer base, which is by definition composed of hotels that had noticed a problem. Nobody has replicated the count. Treat the direction as established and the magnitude as unsettled.

Kenya recorded about 2.7 million international arrivals in 2025, up from 2.47 million the year before, with earnings of roughly half a trillion shillings, according to figures from the Ministry of Tourism and Wildlife. Africa supplied 47 per cent of those arrivals, Europe 25 per cent and the Americas 14 per cent. The region has spent a decade building brands that a traveller in Hamburg or Houston will search for by name. That search is now an auction, held in a currency the lodge does not earn, under rules written in jurisdictions where it cannot sue, and the asset being auctioned is the name over its own gate.

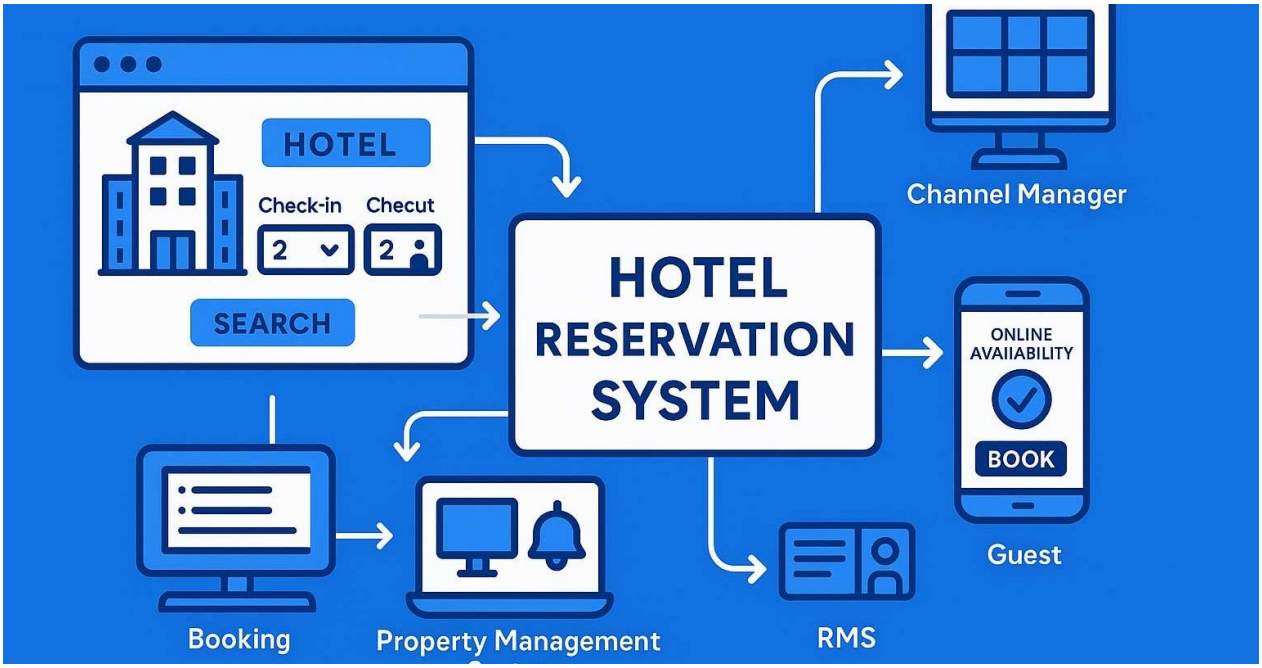


Illustration: AI-generated for EA Hospitality Pulse — synthetic image, not a photograph

BIG READ 2 OF 7 · 13 OCTOBER 2026

Zanzibar's taxman is moving into the booking system. The levy is not the expensive part.

Zanzibar's revenue authority published an amendment to its Virtual Fiscal Management System regulations on 1 September requiring accommodation providers to run an approved property management system wired into the state's platform. Operators are being told the window closes in weeks, by their software vendors rather than by a public notice. The consequence that matters is not the tax rate, it is that occupancy and achieved rate become a government record before they are a management report.

On 2 October the Zanzibar Revenue Authority put a document on its website with a title no hotelier reads for pleasure: a revenue collection report for the first quarter of 2026/2027. The headline inside it was comfortable. Collections of TSh353.310 billion against a target of TSh351.106 billion, 100.63 per cent of plan, and 28.81 per cent above the TSh274.291 billion taken in the same quarter of 2025. Makame Khamis Moh'd, the authority's head of information, public relations and customer service, put the performance down to stronger economic activity, trade with the mainland, taxpayer education and the spread of the authority's electronic systems.

That last item is the one that should hold an operator's attention, because it is the only one a hotel can be made to pay for. The systems the authority named were its virtual fiscal receipting platform and its integrated domestic revenue administration system. Neither is a tax. Both are plumbing. And a month earlier, on 1 September, the authority had published the instrument that extends that plumbing into the place where a hotel keeps its most commercially sensitive information. The document is listed on the authority's own resources page under a flat administrative title, "Amendment of Virtual Fiscal Management System Regulations, 2026." It is the most consequential piece of paper to land on Zanzibar's hospitality industry this year, and almost nobody in the industry has read it, for a reason worth stating plainly: the file the authority has posted is a scanned image. It carries no machine-readable text. You cannot search it, you cannot copy a clause out of it, and you cannot paste it to a lawyer in Nairobi without retyping it first.

What the amendment does, according to every property management system vendor now selling against it, is require accommodation and related hospitality providers to operate a system approved by the Commissioner General and to integrate their application software with the authority's own. The vendors are also circulating a date. HotelPlus Africa's compliance page states a deadline of 1 November 2026, describes a sixty day compliance period running from a February notice, and dates the amendment as signed on 5 August, gazetted on 14 August and posted on 1 September. That is nineteen days away. It is also a date no reader can verify against a public notice, because the authority's notices listing, read this morning, carries no hotel-specific or property-system-specific notice at all. The five most recent items are the quarterly collection report of 2 October, the regulations amendment of 1 September, a notice on tax return filing procedures of 17 August, the Finance Act and Orders for 2026/2027 of 6 August, and a July recruitment notice.

So the operative timetable for a legal obligation on every hotel on the islands is currently being communicated to the industry by companies that sell the software required to comply with it. That is not a conspiracy. It is a governance gap, and it is the first thing an operator should be writing to the Zanzibar Association of Tourism Investors about this week, because a vendor's reading of a commencement date is not a defence.

The direction of travel, at least, has been visible since April. On 10 April the Acting Minister for Tourism and Heritage, Mudrik Ramadhan Soraga, told hoteliers and operators that the government and the revenue authority wanted property management systems in place for transparency and accuracy in revenue reporting. He was not oblique about the obligation underneath it. "All hotels must be registered and use electronic fiscal devices to issue receipts," he said, adding that failure to comply "will constitute a violation of the law" and that the government would act firmly against defaulters. His framing of the policy was a sentence no finance ministry anywhere would disown: "there must be a strong, transparent, and fair tax collection system." Registration was to be done before 24 April. Biubwa Omar of the Zanzibar Association of Tourism Investors made the industry's point in response, which was not that the system was wrong but that its success would depend on proper oversight.

Six weeks before that, the machine had already started turning. On 25 February The Citizen reported that 142 hotels had been linked to the digital system. For an island whose accommodation stock runs from large beachfront resorts with enterprise software already installed to guesthouses keeping a paper register behind the desk, 142 is a number that tells you which end of the market went first.

This is where the cost sits, and it is not the levy. A resort group running a mainstream international property management system will pay an integration fee and lose a fortnight of its revenue manager's attention. A twelve room guesthouse in Nungwi will buy software it has never needed, train staff who have never used any, and acquire a monthly licence against a revenue line that is seasonal and thin. The asymmetry is not incidental to the policy, it is the mechanism of the policy. A tax authority that wires the till is not primarily trying to raise the rate on compliant operators. It is trying to find the ones it cannot see, and the price of finding them is paid by everyone in the room, heaviest at the bottom.

The deeper consequence has almost nothing to do with tax at all, and it is the reason this matters to operators in Mombasa, Arusha and Entebbe who will never file a Zanzibari return. Once a property management system reports to the state at the point of sale, occupancy and achieved rate stop being management information and become a government record. They become a record that exists before the hotel's own month-end, that cannot be smoothed across a quarter, and that the hotel does not control the first copy of.

Consider what currently happens to the island's most quoted operating number. The Office of the Chief Government Statistician's release of 8 September reported 124,481 international arrivals in August and an estimated bed occupancy of 92.9 per cent. That estimate is built from visitors' declared intended stays against available bed spaces. It is a survey product, honestly labelled as one, and no hotel's books were consulted to produce it. A wired till produces a different kind of number, and the two will eventually disagree in public. When they do, the till wins, because it is a transaction record rather than an inference from an arrival card.

For the industry, that is a repricing event dressed as a compliance deadline, and it cuts three ways.

It changes what a lender can see. Every East African hospitality credit conversation in the last five years has turned on the same awkward moment, in which an owner presents management accounts and a bank quietly discounts them. A till reporting to the revenue authority creates, for the first time, an occupancy and rate series that a lender can treat as independently produced. Operators whose real trading is better than their declared trading will not enjoy the transition. Operators whose books have always been clean have just been handed the cheapest credibility they will ever buy, and should be the first to ask their bank what it is now willing to price against a verifiable series.

It changes the rate conversation with the platforms. An operator negotiating with an online travel agency currently argues from assertion, because neither side can prove what the hotel actually achieved. That changes when the achieved rate is a fiscal fact. It changes in both directions, which is the part worth sitting with: a platform that acquires any visibility, direct or inferred, into what a property genuinely nets is better placed to tell that property what its rate ought to be.

And it changes the feasibility study. Zanzibar's room pipeline has been underwritten on occupancy assumptions borrowed from survey estimates and operator self-reporting. If the wired figure lands materially below 92.9 per cent, and in a market with over a million available bed spaces in a month it very likely does, then every model built on the published estimate is optimistic by a margin nobody has yet measured. That correction will arrive quietly, in a credit committee, not in a press release.

Kenya is on the same road, from the opposite end. The Tourism (Amendment) Bill, National Assembly Bill No. 41 of 2026, had its first reading on 2 July and was still at that stage on the parliamentary tracker through the summer. Its argument is about who collects and who controls rather than about instrumentation. Appearing before the Departmental Committee on Tourism and Wildlife on 20 August, the Principal Secretary, Julius Bitok, reached for the revenue authority as his model, comparing the arrangement he wants to the working relationship between the Kenya Revenue Authority and the Central Bank, and arguing that "a transparent and efficient revenue flow would empower the Ministry" to plan and market the sector. The committee chairman, Kareke Mbiuki, the Maara MP, pressed for the two per cent levy to be extended to Airbnb and comparable short-term rental platforms, which he said had long held a competitive edge over licensed providers, while promising that "consensus-building is central to the process."

Both governments have reached the same conclusion from different directions. Kenya is arguing about the institution that collects. Zanzibar has skipped that argument and gone for the instrument, on the view that an authority which can read the transaction does not need to litigate the declaration. On current form, Zanzibar's approach will produce usable numbers years before Kenya's does, and Kenyan operators should expect the Nairobi version of this requirement to arrive as a schedule to something else, with less notice than they would like.

None of which is an argument against being measured. Licensed operators in all five markets have spent a decade complaining, with justification, that they compete against accommodation that pays neither levy nor tax, and the only instrument that has ever fixed that anywhere is enumeration at the point of sale. Europe needed a registration number and a platform reporting obligation to get there. Zanzibar has chosen the till.

The practical ask for an operator on the islands, in the next three weeks, is narrow and does not require a view on the policy. Establish in writing, from the authority rather than from a vendor, what the commencement date actually is and what approval of a property management system requires. Get the regulations in a readable form. Ask what data fields leave the property, where they are stored, and who else can see them, because a rate record held by a revenue authority is a rate record that a future regulation can oblige it to share. And price the software, the integration and the training into the 2027 budget now rather than in January, because the one certainty in this is that the cost of being counted has moved from the state's books to yours.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 3 OF 7 · 14 OCTOBER 2026

Kenya is about to re-grade its hotels. The stars being sold today were set in 2018.

The Tourism Regulatory Authority starts its national classification exercise in Nairobi and Kiambu on 26 October, eight years after the last one. Kenya is the only EAC state with more four-star hotels than three-star, and its public register of classified hotels currently returns a single record named Test Entity 1.

The notice is short, as these things are. Managers of tourism establishments in Nairobi and Kiambu counties are to complete an online pre-qualification form, because from 26 October to 4 December the Tourism Regulatory Authority will arrive to assess, classify and grade them against East African Community quality standards. Nakuru and Baringo follow from 6 to 18 December. Central Kenya and the Mount Kenya region are booked for 11 January to 15 February 2027. The stated purpose is to improve service quality and to build consumer confidence through consistent standards.

Nothing in that notice tells an operator the thing they most need to know, which is what happens to a property that comes out of the exercise with fewer stars than it went in with.

That is not a hypothetical worry. The last national classification in Kenya was conducted in 2018. The Authority's own quality assurance page states that national classification runs on a five-year cycle, with new and upgraded establishments assessed on a need-driven basis in between. By that standard the cycle lapsed in 2023. The exercise now beginning was announced for February 2025, when the Authority told the trade press that accreditation had been completed as a precursor. It is starting in the last week of October 2026, twenty months later, in two counties.

So the grade attached to a Kenyan hotel this morning was in most cases awarded eight years ago, by assessors applying criteria the East African Community has since reviewed, to a property that has since changed its food and beverage offer, its rooms, its management contract and in many cases its owner. It is the oldest number in Kenyan hospitality, and it is printed on the booking page.

Rebecca Miano, Cabinet Secretary for Tourism and Wildlife, has put the ambition plainly, telling The Standard that all hospitality properties will be classified afresh by the Authority. Afresh is the operative word. This is not a renewal exercise in which a four-star hotel confirms it is still a four-star hotel. It is a reassessment against revised criteria, and the Authority has already signalled that it will carry more than a star rating with it. On 1 October the regulator took the exercise to Western Kenya for a stakeholder engagement built around Lake Victoria and Kakamega Forest, with a safety and security component led by Lydia Ligami, commandant of the Tourist Police Unit. Frederick Omondi, the Authority's director of standards and accreditation, framed it as a positioning question, telling KBC that safety, security, quality and classification standards together are critical to how the region competes.

The Authority's director general, Norbert Talam, has been less diplomatic about the other end of the compliance question. "Action will be taken against those operating illegally," he said when the exercise was first trailed.

For properties that are trading lawfully, though, enforcement is the smaller risk. The commercial risk is the regrade, and to see its shape you have to look at what Kenya's existing star distribution actually says about itself.

The East African Community Secretariat publishes the regional tally, and it is the single most useful document in this story because it allows the five partner states to be compared on one page. Across the region, 906 establishments hold a classification under the Common Classification Criteria adopted in 2009. Tanzania accounts for 383 of them. Kenya has 215. Rwanda has 176, Uganda 81, Burundi 51, and South Sudan has none.

Kenya, the region's largest tourism earner, has 44 per cent fewer graded establishments than Tanzania. That is a measurement gap rather than a supply gap, and on its own it is only mildly embarrassing. The interesting part is the shape.

Kenya's 215 break down as 24 at five stars, 67 at four, 63 at three, 58 at two and three at one. Read that sequence again. There are more four-star establishments in Kenya than three-star ones, and only three properties in the entire country carry a single star.

No other partner state looks like that. Tanzania has 151 three-star establishments against 40 at four stars. Rwanda has 56 against 17. Uganda has 27 against 13, Burundi 15 against nine. Region-wide the distribution is bottom-heavy in the way a credible grading system usually is: 334 establishments at two stars, 312 at three, 146 at four, 70 at five. Kenya is the only member state whose pyramid is upside down.

There are innocent readings of that. Kenya's graded estate skews towards Nairobi business hotels and coastal resorts built to international brand specification, and a sample drawn from the top of the market will look top-heavy. The 2018 exercise, whose regional analysis the hotelkeepers' association still hosts, classified 179 establishments with a similar tilt: 18 at five stars, 51 at four, 53 at three, 54 at two, three at one. Greater Nairobi, the Coast and the South Rift supplied 123 of the 179 between them. Western Kenya produced 14, Eastern six.

The less innocent reading was offered on the record by Havar Bauck, founder of Hotel Online, who has argued that Kenyan star ratings tend to be generous and that the country's price-to-quality ratio compares poorly with European, Middle Eastern and Asian destinations. "Reliable classifications help increase trust, which is key for the image of any tourist destination," he said. Trust, in that sentence, is doing commercial work. A rating system that nobody believes is a rating system that nobody prices against.

Victor Shitake, chairman of the Kenya Coast Tourism Association, took the more hopeful view of the same exercise, and in doing so named the mechanism that matters. "The international criteria of the audit will help Kenya to gauge where it stands in comparison to other destinations," he said, arguing that ratings help hoteliers set prices and motivate quality improvement alongside guest reviews on Tripadvisor and Google Maps.

Help hoteliers set prices. That is the point at which a regulatory exercise becomes a revenue management problem, and it is why a downgrade is not an administrative inconvenience.

Think about where a star rating is actually load-bearing in an East African property's revenue. It sits in the online

travel agency's star field, next to the review score, in a results page sorted by price within star band. It sits in corporate accommodation tenders, which routinely specify a minimum classification, and in government and donor per diem schedules, which band reimbursement by grade. It sits in conference and incentive bids, where a procurement team needs a document rather than a brochure. In each of those places the grade is a filter, not a flourish, and dropping a band does not reduce a hotel's rate by a sensible percentage. It removes the property from the shortlist entirely.

A Nairobi hotel that has priced four-star for eight years, and comes out of the next six weeks at three, does not have a pricing problem. It has a channel problem, a tender problem and a contract problem, arriving together, in a market where the archive of this publication has already documented how little room there is to absorb a rate reset.

Which makes the second finding in this story harder to defend. The Authority maintains a public list of classified hotels on its own regulatory portal, the natural place for a corporate buyer, a tour operator or a guest to check a claimed grade. Fetched directly on 13 October, that list returned exactly one record: an entry called Test Entity 1, filed under Classification of Town Hotels, rated one star, located in Nairobi. The page offers a filter for five-star properties that matches nothing.

Kenya is therefore about to spend the next sixteen weeks and beyond assigning grades that carry real contractual weight, while the register where those grades should be verifiable publishes a test record. The 2018 results are available, in a PDF, on a trade association's website. The regulator's own live register is not functioning as a register. An operator cannot check a competitor's claim, a procurement officer cannot validate a bidder's, and a guest cannot check anything at all. Into that vacuum, the booking platforms supply their own stars, which is precisely the substitution a national classification system exists to prevent.

There is a capacity question sitting behind all of this that the published calendar makes unavoidable. The East African Community reports 70 certified assessors across the entire region, trained through an eight-week programme, with a training of trainers run to build national capacity. Kenya's announced schedule covers two counties in the first six weeks, two more in the next two, and one region in the five weeks after that. Kenya has 47 counties. At the pace set out in the notice, a genuinely national exercise does not conclude inside the five-year cycle that triggered it, which means some properties will be reassessed against revised criteria while others are still trading on a 2018 grade, and buyers will have no way to tell which is which.

The criteria themselves have moved, and that deserves more attention than it is getting. The 2009 framework graded six categories: town hotels, vacation hotels, lodges, tented camps, motels, and villas, cottages and serviced apartments. The reviewed criteria that partner states are now rolling out carry a different list, including resorts, boutique hotels and convention centres. For a property that sold itself as a town hotel in 2018 and has since repositioned as a boutique, the exercise is not a re-rating within a known rubric. It is a reclassification into a category whose criteria it has never been measured against.

All of which is happening while the price of being measured is still legally unsettled. The classification charge in Legal Notice No. 127 of 2026, KSh 250,000 for a Class A or Class B enterprise, remains before the Senate Committee on Delegated Legislation, which has heard the trade's objections and has not yet chosen between annulling the regulations and acceding to them. This publication has argued the shape of that fee elsewhere and will not relitigate it here. The relevant point today is narrower and stranger: operators in Nairobi and Kiambu are being asked to pre-qualify, this month, for an assessment whose statutory cost a parliamentary committee may yet strike out.

None of this is an argument against regrading. A classification system that has not been refreshed in eight years is not protecting anybody, least of all the operators who invested to meet a standard and now compete against properties claiming the same stars on older evidence. Kenya's inverted pyramid is an argument for doing this, not against it, and doing it properly will mean handing out fewer four stars than the register currently shows.

It is an argument about sequence. Three things should precede the assessor's arrival rather than follow it. Publish

the register, so that a grade awarded in Nairobi in November can be verified by a buyer in Frankfurt in December. Publish the revised criteria per category, with the scoring thresholds, so that a property can see the band it is heading for before an assessor arrives rather than after. And say in writing what happens to a downgraded property's licence, its tender eligibility and its appeal rights, because the operators filling in that pre-qualification form this month are being asked to volunteer for a reassessment whose downside nobody has described to them.

Grade the hotels. But publish the list, or the stars go back to being whatever the booking page says they are.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 4 OF 7 · 15 OCTOBER 2026

The most movable money in travel is shopping for a destination. Kenya has been bidding with a building site.

Nine in ten meeting planners expect to spend more in 2027 and four in ten have already moved an event's destination under cost and geopolitical pressure. Africa holds about 4% of the world's association meetings, and the two East African capitals chasing the segment this week are chasing two very different versions of it.

On Monday morning at the Speke Resort Convention Centre in Munyonyo, a few hundred metres from the water, Jackline Nanteza opened a trade show that had not existed before. The inaugural Africa Destination Celebrations Conference and Expo ran for two days under the theme "Africa Unveils Events in the Wild", and it had drawn wedding planners and professional conference organisers from Nigeria, Kenya, the United Kingdom, Botswana, South Africa, Zambia, Romania, India, France and Spain. Nanteza, who founded the thing and runs it, put the question plainly. "Why should Africa be known primarily for wildlife, safaris and holidays only," she asked.

It is a fair question, and this week it arrived with unusually good timing. Two days after the Kampala expo closed, American Express Global Business Travel published its 2027 Global Meetings and Events Forecast, built on a YouGov survey of 500 meetings professionals across eleven countries, fielded between 5 and 14 August. The numbers describe a segment in rude health: 93% of planners say they are optimistic about the sector in 2027, and 91% expect their own meetings and events spend to rise. Gerardo Tejado Donde, Amex GBT's senior vice president for professional services, called the optimism "grounded in realism", noting that planners "know 2027 will demand sharper risk management and disciplined cost control".

That last clause is the part East African operators should read twice, because of what the same survey found planners actually do when cost and risk bite. Under geopolitical pressure, 39% have changed an event's destination or city, 37% have shifted to more virtual meetings, and 30% have held smaller meetings or switched venues. In other words, the money is growing and it is unusually willing to move. There is no other demand segment in travel where close to two in five buyers will relocate an entire piece of business on the strength of a

better answer.

Willing to move is not the same as likely to arrive. The International Congress and Convention Association counted 12,438 international and regional association meetings worldwide in 2025. Africa hosted 497 of them, roughly 4%, against 53% for Europe, 22% for Asia-Pacific, 10% for North America and 9% for Latin America. The continent has been at about that share for years, and it has not moved because planners dislike Africa. It has not moved because of what the segment is: a market where the buyer commits years in advance, needs the venue to exist before the bid rather than after it, and chooses on confidence rather than on price.

Naledi Kabo, chief executive of the Africa Tourism Board, put the diagnosis more bluntly than most destination marketers would at an industry panel in early October. "I don't want to travel 10 to 24 hours for an experience I could have in a conference room in Detroit," she said. Her complaint was not about the flights. It was about the pitch. African destinations, she argued, still work a reactive model: "The traditional model waits for a planner to express interest and then responds to a request for proposal." The cost of that patience is structural. "By that point, the buyer may already have a shortlist dominated by familiar destinations." She was equally direct on reputation. "We do suffer from a perception problem more than, say, the European region," she said. "We need to be honest about that."

Carina Bauer, who runs the IMEX Group and therefore sees the buying end of this market as clearly as anyone, framed the counter-strategy in two sentences that deserve to be pinned above every sales desk in Nairobi. "Don't confuse value and price. Value in today's market is not necessarily the lowest price," she said. And then the discipline that follows from it: "Africa cannot bid for everything."

Two East African capitals are currently testing opposite readings of that advice, and the gap between their results is the most useful thing on the table this week.

Rwanda took the association route and has been working it for a decade. The Rwanda Development Board put the country's business events earnings at $94.7 million in 2025, up from $84.8 million the year before, with 165 international and regional events and more than 61,000 delegates against 115 events and 52,315 delegates in 2024. ICCA's own 2025 rankings place Kigali second in Africa with 35 qualifying meetings, behind Cape Town on 55. In January, ICCA confirmed that its 66th Congress will be held in Kigali from 24 to 27 October 2027, the first time the global association community has met in Africa in twenty years. Janet Karemera, who runs the Rwanda Convention Bureau, described the win as a chance "to welcome the global association community back to Africa for the first time in twenty years". Her colleague Christian Manzi, the bureau's director of destination marketing, offered the plainer version of why it matters: "If you're not in the room, you're going to be left behind."

Nothing in that record depended on Rwanda being large. Kigali has a fraction of Nairobi's room stock, a fraction of its airlift and a fraction of its corporate base. What it has is an institution that has been bidding continuously, under the same name, for long enough that planners can predict it. In a market where the buyer is pricing the risk of a destination changing its mind, continuity is the product.

Kenya's experience this year is the control group. The country recorded about 2.4 million international arrivals in 2024, of which more than 643,000 came for conferences, exhibitions and business events, a base that dwarfs Rwanda's entire delegate count. It also had the single clearest shot at a step change: the Bomas International Convention Complex, begun in March 2025, with a presidential pavilion for up to 30 heads of state, 35 meeting rooms, a 5,000-seat main auditorium, a 3,500-seat secondary hall and headline capacity for 11,000 delegates. The original completion target was April 2026. By late April, with the National Assembly's tourism committee reporting that the works would not finish in time, the target had moved to September, the budget had climbed from Sh31.5 billion towards Sh42 billion, and the Africa-France Summit that Nairobi had hoped to open the building with had been moved elsewhere.

Jeffers Miruka, secretary general of the Association for Kenya Business Events, has been the most willing to say what that cost. "The Africa-France Summit was supposed to become Kenya's defining MICE moment," he said,

"but, because the convention infrastructure could not be delivered on time, the country lost an opportunity." His next point is the one that generalises beyond a single summit. "Conference tourism is highly competitive. Countries bid years in advance," he said. "When timelines keep shifting, Kenya's credibility in the global MICE market is weakened." And the structural conclusion: "The reality is that KICC, despite its historical significance, cannot carry Kenya's MICE ambitions alone anymore."

Kenya did finally get a national convention bureau through Cabinet in January, the second attempt at the institution Rwanda has had working for years. That is the right move and it is years late, which is the whole lesson. An association bid is not won by the destination with the best venue. It is won by the destination whose promise about a date in 2029 is believable, and believability is accumulated, not announced. A country that has twice started a convention bureau and twice reset a completion date is asking a buyer to underwrite its credibility, and the buyer has 12,000 other meetings to place.

Which is what makes Nanteza's Kampala expo more interesting than its modest scale suggests. Uganda is not bidding for congresses. It is going after celebrations: weddings, milestone events, the private end of the business. Simplicious Gessa of the Uganda Tourism Board tied it to the obvious strategic aim, saying the initiative "comes at a time when Uganda is intensifying efforts to diversify its tourism products", against a backdrop of arrivals rising from 1.37 million in 2024 to 1.64 million in 2025 and earnings climbing from USh4.81 trillion to USh5.83 trillion over the same period.

Celebration business has a structure that suits East African supply far better than association business does. It does not run on a four-year bid cycle. It does not require an 11,000-seat hall, a presidential pavilion or a convention bureau with institutional memory. A 150-guest destination wedding is, in operational terms, a lodge buyout with a long lead time, a high food and beverage attachment and a client who has already decided that remoteness is a feature. The margin profile is the inverse of safari FIT: fewer bookings, far higher value per booking, and almost no distribution cost, because the business arrives through a planner rather than an online travel agency.

The catch is that the one capability it demands is the one East African properties are weakest at. Christine Ogbeh, the Nigerian planner who founded Quoram Africa, named it without meaning to. "When a client chooses Africa for their event, they are trusting us with moments they cannot repeat," she said. A wedding cannot be moved by a week because a camp has overbooked, cannot absorb a supplier changing a quoted rate four months out, and cannot survive a property that treats a held date as provisional until the balance clears. Those are precisely the habits that a region selling short-lead safari inventory, on soft deposits, in a market where confirmations slide routinely, has spent two decades building into its operating model. Planners place repeat business on reliability, and they talk to each other.

So the week's lesson is not that East Africa should chase business events. It is that there are two doors into the segment and they demand different things. The association door needs an institution and a decade, and it is the one Rwanda has already walked through while Kenya was still pouring concrete. The celebrations door needs no new building at all, which is why Kampala can credibly open an expo for it from a standing start. What it needs is a property that can hold a date against a deposit and honour a rate a year out, which costs nothing to build and is harder to acquire than a convention centre.

Nanteza set the test herself, and it is the right one. "Our success will not be measured only by attendance, but by the businesses created," she said. The planners who flew to Munyonyo this week will place their next international enquiry somewhere. Whether any of it lands in East Africa will be decided not by the pitch, but by the first operator who answers a 2028 enquiry with a number that still holds in 2028.



Handout: Emirates - editorial use

BIG READ 5 OF 7 · 16 OCTOBER 2026

The Gulf added a third daily flight to Nairobi while its own hub was losing a third of its passengers. That is not confidence, it is surplus.

Dubai International carried 31% fewer passengers in the first half of 2026 and Middle East arrivals fell 22%, yet Emirates put a third daily service into Nairobi on 1 July and signed a marketing agreement with the Kenya Tourism Board in September. Kenya is measuring the deal by Middle Eastern visitors, a market worth 20,480 arrivals. The thing it has actually bought is a transfer desk, and the price is good because the aircraft has nowhere better to be.

EK717 came in over Embakasi at twenty past five on the morning of 1 July, an hour when Jomo Kenyatta International Airport is already busy with the European red-eyes. The Boeing 777 was the third Emirates arrival of the day from Dubai, a frequency the route had never carried before. Teresia Mbaika, Kenya's Principal Secretary for Aviation and Aerospace Development, called it "a strong vote of confidence in Kenya's aviation, tourism and trade sectors". Christophe Leloup, Emirates' country manager for Kenya, noted that "for three decades, Kenya has been one of Emirates' most important destinations in Africa". The route went to 21 weekly flights, and the carrier added 280 tonnes of weekly cargo capacity on top.

Both statements are true. Neither explains the timing. On the morning that third daily landed, the hub it had flown from was four months into the worst disruption in its history. The US and Israeli war on Iran began on 28 February. Within days, Qatar, Saudi Arabia, the UAE, Kuwait, Bahrain, Oman and Jordan had closed their airspace partially or completely, and Iranian projectiles had struck or been intercepted over the airports at Dubai, Abu Dhabi, Kuwait and Bahrain. Emirates resumed a handful of departures on 3 March, Etihad on 6 March, Qatar Airways the week after. Restoring the schedules took months. Dubai International handled 31% fewer passengers in the first half of 2026 than in the same period of 2025.

That is the context in which an airline chose to add capacity to Nairobi. It is worth being precise about what such a decision means. By mid-June, according to Flightradar24 tracking, Gulf carriers were operating at roughly 90% of their normal flight volumes. Emirates had restored about 96% of its destinations but was still flying only

around three-quarters of its pre-war weekly frequencies. Etihad was discounting aggressively to rebuild connecting traffic. The aircraft had come back before the passengers did, which is the classic signature of a hub carrier with widebodies on the ground and a network planning department looking for somewhere to put them.

East Africa was somewhere to put them. So, in September, was a marketing agreement. The Kenya Tourism Board signed memoranda of understanding with both Emirates and Qatar Airways in Dubai in mid-September, with Julius Bitok, the Principal Secretary for Tourism, framing the logic plainly: "These agreements give us a stronger platform to convert connectivity into arrivals." Emirates will provide tickets for joint trade and media familiarisation trips; KTB covers accommodation and ground handling in Kenya. An Emirates representative offered the standard formulation that "connectivity provides the pathway, but destination marketing creates the demand".

The target attached to all this is where the thinking goes wrong. June Chepkemei, KTB's chief executive, has said Kenya is seeking to lift arrivals from the Middle East to 50,000 visitors, "compared to 20,480 recorded during the 2026 financial year", a number the board values at roughly Sh15 billion on an indicative Sh300,000 per visitor. Trebling a source market sounds like ambition. Set against the 2.79 million arrivals the government's own delivery unit reported by June, and the Sh564 billion in earnings it attributes to the sector, 20,480 is fewer than one arrival in a hundred. Even the 50,000 target, fully achieved, would move Kenya's arrivals mix by less than a percentage point.

The Gulf carriers are not, in any serious sense, selling Kenya the Gulf traveller. They are selling Kenya a transfer desk. Emirates connects Nairobi to more than 138 destinations through Dubai; Qatar Airways offers the same proposition through Doha. The commercial value of those three daily 777s to a camp in the Mara or a beach hotel in Diani is the German, the Italian, the Indian and the American who changes planes in the Gulf and never books a night there. Measuring the relationship by Emirati and Saudi arrivals is like measuring a wholesaler by the staff who work in its warehouse.

This matters because the two things move in opposite directions. Gulf-origin leisure demand is weak and will recover with the region's security picture. Gulf-transfer capacity to East Africa is abundant precisely because that demand is weak. Kenya has signed a co-marketing deal at the moment of maximum airline generosity, which is also the moment of maximum reversibility. When Dubai and Doha fill their own beds again and the long-haul connecting flows normalise, the spare widebody acquires better options and the familiarisation budget follows it. There is nothing cynical in that; it is how network planning works. The error would be to treat a window as a structure.

The window may already be narrowing. UN Tourism's barometer, published on 17 September, put global international arrivals up just 0.4% in the first half of 2026, around 690 million travellers, and cut the full-year forecast from 3% to 4% growth down to 1% to 2%. Within that, the Middle East fell 22%, the steepest regional decline anywhere, while Africa grew 4% and was the fastest-growing region in the world. Shaikha Al Nuwais, the organisation's secretary-general, described "a sector absorbing real pressure and finding a way forward", adding that "tourism has not stopped growing, but that growth is fragile". The Middle East situation, she said, "has touched destinations far beyond the region itself".

It has touched them on the cost side too, and that bill lands on East African operators whether or not they ever see a Gulf transfer. The International Air Transport Association, presenting its revised outlook at its Rio de Janeiro annual meeting on 7 June, halved the industry's expected 2026 net profit to $23 billion from $45 billion in 2025, a net margin of 2.0%, on a jet fuel assumption of $152 a barrel against $90 the year before, a rise of 69%. Middle Eastern carriers were put on course for a collective loss, estimated at $4.3 billion. A fuel shock of that size does not stay inside an airline's accounts. It arrives in a lodge's rate negotiation as a long-haul fare that has to be absorbed somewhere in the package, usually by shortening the stay or trading down the room.

Which brings the argument to Zanzibar, and to the most misread number in East African hospitality this year. The Office of the Chief Government Statistician's release of 8 September recorded 124,481 international arrivals

in August, up 18% on August 2025 and 15.5% on July, taking the January to August total to 633,228, a rise of 10.6%. Estimated bed occupancy stood at 92.9%, derived from 949,056 visitor nights against 1,021,853 available bed spaces. The average intended stay was 7.6 nights. It is a genuinely excellent set of figures, and it has very little to do with the Gulf. Europe supplied 58.1% of August's arrivals, with Italy alone at 14.1%, the United Kingdom at 7.9%, Germany at 6.9% and France at 6.8%. Africa supplied 24.5%, Kenya alone 6.4%.

So the two pieces of good news in East African tourism in 2026 have different parents. Zanzibar's is European, long-stay and largely charter-fed. Nairobi's new capacity is Gulf-routed, short-notice and hub-dependent. Conflating them is how a rate card gets set wrong, because the obvious inference from a 92.9% August is that 2027 can be contracted harder, and the obvious inference from three daily Emirates services is that volume is secured. Neither inference is safe. One is a European market that has held up while the Gulf has not, and the other is surplus metal that will be reallocated the moment its home market recovers.

Nor is this a simple displacement story in which the Gulf's loss is East Africa's gain. Egypt, the continent's largest tourism economy and the obvious beneficiary of a Gulf beach market in trouble, recorded 6.1 million visitors in the first four months of 2026 with the Red Sea leading its growth. Africa's 4% was broad rather than concentrated. What East Africa received was not a transfer of visitors from the Gulf but a transfer of aircraft, and those are very different assets to have been given.

The operators closest to the coastline are the ones least impressed by the connectivity story, and they are right to be. Sam Ikwaye, the Kenya Association of Hotelkeepers and Caterers' executive officer for the coast, has put the structural problem bluntly: the absence of direct international service into the coastal airports is "what is still blocking the growth that we should be seeing". A third daily into Nairobi does not put a body in a Mombasa bed. It puts a body at a domestic transfer gate, where Kenya's own connecting economics take over and a meaningful share of the arrival is lost to Nairobi hotels, safari circuits and schedule gaps. Hillary Siele, who manages the Travellers Beach Hotel and Spa in Mombasa, was asked about forward bookings and answered about something else entirely: "Our worry is just the election period." Mohammed Hersi of Pollman's Tours and Safaris made the same point in three words. "Stability is key."

That is the right instinct, applied to the wrong hemisphere. East African operators have spent 2026 watching their own calendar, with Kenya's general election due next August, while the variable that actually set their inbound fares and their long-haul seat supply this year was decided in the Strait of Hormuz. The practical response is not to turn down Emirates tickets. It is to use them for what they are worth now, trade and media familiarisation, while they are free, and to stop reporting the relationship in Middle Eastern arrivals, which measures a market Kenya was never going to win in volume. Count routings instead of nationalities, and the Gulf partnership looks like what it is: a temporary, generous, entirely conditional lease on somebody else's spare capacity. Price the 2027 rate year off that, and the war is in the contract whether anyone named it or not.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 6 OF 7 · 17 OCTOBER 2026

The breach happened at the software company. Under three East African laws, it is the hotel that has to report it.

A French hotel software publisher lost roughly 135GB of guest records from about 1,500 establishments between 27 September and 5 October, and the fraud calls began the next day carrying real booking references. The East African exposure is not French, it is structural. Kenya gives a hotel 72 hours from the moment it finds out and gives its software vendor 48 hours to tell it, Tanzania gives no number at all, and Uganda says immediately. Hospitality is on Kenya's register-regardless-of-size list, and the sector's instinctive answer to a data penalty so far has been a sign at the door.

The messages went out on 6 October, by WhatsApp and by email, and what made them work was that everything in them was true. The guest's name was right. The hotel was right. The dates of the stay were right, and so was the booking reference. The only thing that was wrong was the link, which led to a site asking for card details to settle a deposit that had never been outstanding. Guests who had done nothing more exotic than reserve a room in Paris were being defrauded with their own reservation data, less than 48 hours after it left the building.

It had not left their hotel. It had left Medialog, a French publisher of management software for hotels and restaurants whose product handles reservations and guest stays for a long tail of independents and small groups, heavily concentrated in Paris. According to the incident reconstruction published by the French breach-tracking outlet FrenchBreaches on 6 October, a weakness had been present in the affected applications since 29 June. The first traces of unauthorised access date to 27 September, when the intruders helped themselves to the names and statuses of around 1,650 establishment accounts. They then sat inside the system for a week. The mass extraction ran from two o'clock on the afternoon of 4 October until 07:46 the following morning, around 135GB of full customer records from about 1,500 establishments. Medialog detected the activity on the morning of 5 October and blocked it at 11:03.

What went out, on the vendor's own account, was identity and stay data: full names, dates and places of birth, nationalities, postal and email addresses, telephone numbers, and then the hotel, the reservation, the room, the

booking status, the identity of the payer, the voucher number and the deposit amount. Medialog says no card numbers, expiry dates or security codes were taken, and no identity document numbers or photographs, and that it has closed the vulnerability and hardened its authentication. It also told the affected hotels to work out for themselves whether they owed the CNIL a notification, and to tell their guests promptly where the risk warranted it.

That last instruction is the whole story, and it is the reason this is an East African story rather than a French one. The hotels did not choose the vulnerability, did not know about the intrusion for the week it ran, and could not have blocked it. They are nonetheless the ones holding the legal obligation, because in every data protection regime that matters here the hotel is the controller and the software company is the processor. Dan Timilsina, a security and risk management professional with more than fifteen years at luxury properties in the UAE, Nepal and Japan, put the principle in one line in Security Management on 26 August: "Accountability to guests cannot be transferred through a vendor contract." He was writing before Medialog. He was describing it exactly.

The practical content of that accountability, in East Africa, is a set of clocks that start when the vendor decides to pick up the telephone. Kenya's Data Protection Act 2019 requires a controller to notify the Office of the Data Protection Commissioner within 72 hours of becoming aware of a notifiable breach, and requires a processor to notify its controller within 48 hours of becoming aware. Identifiable individuals must then be told in writing within a reasonably practicable period, and a controller that decides not to tell them has to explain that decision to the Commissioner. A breach becomes notifiable when an unauthorised person has accessed personal data and that access threatens meaningful harm, a test that names, identity numbers, income details and card or bank information all comfortably meet. Fail the whole of it and the administrative ceiling is five million shillings or one per cent of the prior year's annual turnover, whichever is lower, with a separate criminal track running to three million shillings or ten years.

Cross the border and the clock changes shape. Tanzania's Personal Data Protection Act, Chapter 44, requires notification to the Commission under section 27(5) "without undue delay", and the Act does not define the phrase. It does not condition notification on harm either, which makes the Tanzanian duty simultaneously broader and vaguer than Kenya's: every breach is reportable, on a deadline nobody has written down. There is no statutory duty to tell the guest at all. The penalty under regulation 63 of the 2023 Collection and Processing Regulations runs from 100,000 shillings to five million, with up to five years' imprisonment available alongside it. Uganda is blunter still. Section 23 of the Data Protection and Privacy Act and regulation 33 of the 2021 regulations require notification to the Personal Data Protection Office "immediately" upon reasonable belief that data was accessed by an unauthorised person, the duty bites directly on processors as well as controllers, and the Office rather than the hotel decides whether guests are told. Corporate fines there can reach two per cent of annual gross turnover.

So a group running one shared reservation system across Nairobi, Arusha and Kampala has three incompatible answers to the same question, and the strictest of the three is the one with no number attached. None of the three clocks can start before the vendor speaks. In the Medialog case the vendor was seven days behind the intruders and the fraudsters were a day ahead of the vendor.

This is not an exotic risk being imported into a region that does not face it. It is the ordinary structure of a modern East African hotel's technology estate, in which the property management system, the channel manager, the booking engine and the payment gateway are all somebody else's software running on somebody else's infrastructure, mostly outside the country. Kenya still has no operational hyperscaler region: the $1bn Microsoft and G42 geothermal data centre that was to host one had stalled by 2026 on power capacity, and local commercial capacity, such as iXAfrica's 4.5MW first phase, is growing from a small base. Guest data therefore sits abroad by default, which is a lawful choice and also a practical one, and which means the logs that would establish when a hotel became aware of a breach are held by a company in another jurisdiction with no particular incentive to hurry.

Against that, the sector's demonstrated posture is thin. The one time Kenyan hospitality has been publicly

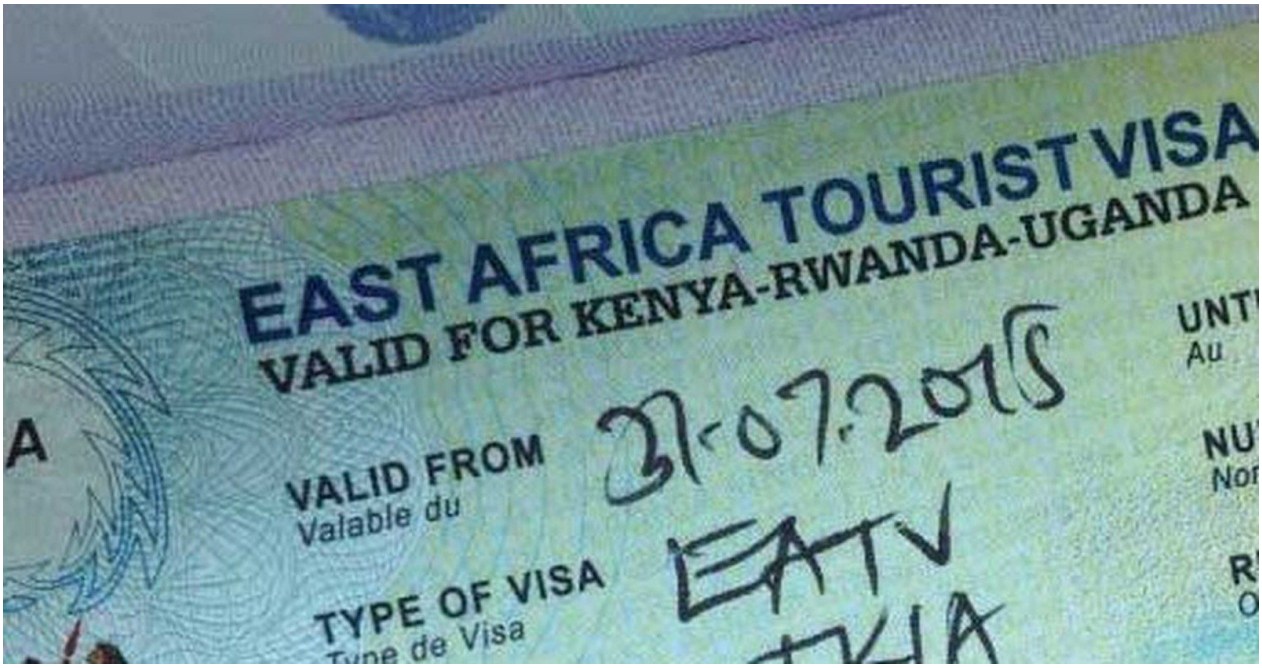
penalised under the Act it was for something far simpler than a vendor compromise. In September 2023 the ODPC fined Casa Vera Lounge 1.85 million shillings for posting a reveller's image on social media without consent, part of a tranche of three penalty notices totalling 9.375 million shillings, and the regulator's position was stated plainly: clubs "do not have the right to post photos on social media without consent". The industry's response was not to review how it processed guest data. It was to put up signs. Tribe Onyx told arrivals that "your entry and presence on the premises constitute your consent to be photographed, filmed, and/or otherwise recorded". Quiver Lounge Kilimani and Texas Barbeque ran near-identical notices ending "do not enter the area if you do not agree to the foregoing". A door disclaimer is a consent instrument. It is of no use whatever when the exposure arrives through a processor in Europe, which is the distinction Timilsina was drawing when he wrote that "compliance and governance are not the same thing", and that "risk in the modern hotel environment does not live at the perimeter".

The compliance baseline, meanwhile, is not optional for this sector in either of the region's two largest hospitality markets. Kenya's ODPC lists hospitality among the categories that must register regardless of turnover or headcount, so the exemption for businesses under five million shillings and ten employees does not reach a lodge; certificates run 24 months and have to be renewed thirty days out. Tanzania's registration window closed on 8 April 2026 with full enforcement of the Act from the following day, and tourism companies were named explicitly among the registrable sectors, alongside banks, hospitals and telecommunications firms. Enforcement in the region is no longer theoretical: Kenya's ODPC determined 96 complaints in 2025, close to double the 2024 figure, and Uganda secured its first criminal conviction under its Act on 10 July 2025, against a microfinance director prosecuted for operating without registration.

There is one more thing operators should notice about the moment this breach landed. Kenya's regulator is between commissioners. Immaculate Kassait, the inaugural Data Commissioner appointed in 2020, is completing a single six-year term; the Public Service Commission received 152 applications by 14 September, shortlisted thirteen candidates including the Media Council's chief executive David Omwoyo and the ODPC's own senior deputy Oscar Otieno Onyango, and held interviews on 5 October, the same weekend the Medialog data was being carried out of the building. A regulator in transition is not a regulator that has stopped counting days. Kassait herself framed the asymmetry in June, talking about humanitarian technology but describing something more general: while new systems "bring greater efficiency and reach, they also introduce new and evolving risks".

The work that follows from all this is unglamorous and almost entirely contractual. Mugambi Laibuta, now chair of the Data Privacy and Governance Society of Kenya, made the point six years ago, when the Act was new and the industry was treating it as an expense: businesses should map their data, prioritise it and check the data governance of their suppliers, because "having shareholders, management, staff and agents sign non-disclosure agreements is insufficient". For a hotel in October 2026 that means knowing which vendor holds which guest field, having a processing agreement that actually obliges the vendor to notify within the 48 hours Kenyan law assumes, knowing who can read the access logs and how fast, and having a notification already drafted so that the 72 hours are spent verifying rather than writing. None of it will prevent the next Medialog. All of it determines whether the hotel's name appears in that story as a victim or as a respondent.

The uncomfortable part is that the absence of a reported East African hotel breach proves nothing. A vulnerability can sit open in a hosted application from late June to late September without anyone noticing, and the first people to tell a hotel's guests that something has gone wrong can be the people defrauding them. Kenya, Tanzania and Uganda have each decided how quickly a hotel must speak once it knows. Not one of them has given an operator any way to find out sooner.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 7 OF 7 · 18 OCTOBER 2026

East Africa renewed its brand for another ten years. The visa that would make it one destination is still a study.

EAC tourism ministers adopted a ten-year marketing strategy in Arusha last Thursday under a slogan the region already had. The single tourist visa that would let an operator actually sell the region got two more deadlines and no decision.

Four days of meetings at the East African Community headquarters in Arusha ended last Thursday with a document and a slogan. The 13th Sectoral Council on Tourism and Wildlife Management, chaired by Uganda's minister for tourism, wildlife and antiquities, Col Tom Butime, adopted the EAC Tourism Marketing Strategy for 2027 to 2036: a ten-year framework to sell eight partner states to the world as a single destination, using digital campaigns, strategic partnerships and cross-border tour packages under the banner "Visit East Africa: Feel the Vibe."

An operator reading the communiqué would be forgiven for a moment of déjà vu. The slogan is not new. The Community's own tourism marketing page carries "Visit East Africa, Feel the Vibe" as the existing regional brand, complete with a brand manual and a brand communication and promotion plan whose own filename dates it to 2023. Nor is the strategy new in kind. The page lists an EAC Tourism Marketing Strategy for 2021 to 2025, with a successor expected to conclude in 2026. What happened in Arusha last week, stripped of the ribbon, is that a marketing strategy which had expired was replaced by another one, under the same brand, for twice the duration.

What was not renewed, again, is the thing that would let anyone sell the product the brand describes.

The single tourist visa was on the agenda, and it left Arusha in the condition it has occupied for most of a decade. The Secretariat was directed to circulate an updated study on it by 20 October, two days ago. Partner states were asked to submit comments by 30 November. Andrea Aguer Ariik Malueth, the EAC's deputy secretary general for infrastructure, productive, social and political sectors, urged member states to conclude their national consultations, without a date attached. That is the entire decision. A study circulates, comments arrive, consultations continue.

The East Africa Tourist Visa those documents concern already exists. It costs US$100, runs for 90 days, and covers Kenya, Uganda and Rwanda. It does not cover Tanzania, Burundi or South Sudan, which means it covers three of the eight states the new ten-year strategy will market as one place. For the itinerary most long-haul buyers actually want, a week of Kenyan plains and a week in the Serengeti or on Zanzibar, the visa does not hold. A traveller pays the US$100 for the three-country bloc, then pays again for a Tanzanian entry, from US$50 for a single-entry e-visa, and crossing into Tanzania ends the bloc visa's validity, so returning north is a fresh transaction. The region's single-destination promise currently costs a visitor two visas and the loss of one of them.

This is not a marketing problem, and the people in the room said as much. Malueth told the council that the benefits the region has drawn from tourism so far were "only the tip of the iceberg", and that "the world will judge East Africa by the quality of the rooms, the meals and the service that our visitors receive." Suleiman Masoud Makame, Zanzibar's minister for agriculture, irrigation, natural resources and livestock, opened the meeting with the same thought in plainer form, saying tourism success depends not only on the region's attractions but also on service quality. Butime's own framing was about capital, not campaigns: "We need to create an enabling environment for private-sector investment, develop bankable regional tourism projects."

Three senior figures diagnosed supply, pricing and product. The council adopted a slogan and a decade.

That is less unfair than it sounds, because the council did decide several concrete things, and they are worth more to a hotelier than the brand is. Ministers adopted common designs for EAC tourism classification plaques and certificates, agreed that classified establishments will be published in the EAC Gazette, and signed off on examination results for newly trained classification assessors from Kenya and Tanzania. Partner states were urged to accelerate classification of tourism establishments before the 2027 Africa Cup of Nations. The Secretariat was told to coordinate a tripartite memorandum between Kenya, South Sudan and Uganda for the Kidepo, Karamoja and Turkana transboundary conservation area. Uganda offered to host the fourth EAC Regional Tourism Expo alongside the Pearl of Africa Tourism Expo in May 2027, with AFCON promotion and multi-country packages attached.

The classification decisions are the sleeper item. A gazetted regional grade, carried on a plaque a European buyer can recognise across borders, is the first genuinely new asset East African accommodation has been handed in years, and it is the one piece of last week's agenda that converts directly into a line on a contract rate sheet. It also has a hole in it. Assessors were certified for Kenya and Tanzania. A harmonised grade is only worth what its least-staffed member state can issue, and six partner states were not on that list.

The expo offer illustrates the gap between adoption and delivery more neatly than any critic could. The Community's own page describes the regional tourism expo as an annual event that rotates among partner states, and lists three editions: Tanzania, then Burundi, then Kenya in 2023. The fourth is now scheduled for May 2027. An annual expo with a four-year gap in it is the implementation record against which a ten-year marketing strategy should be read.

The underlying numbers argue for a different priority than the brand does. On the Community's own barometer data, EAC tourism receipts reached US$7.7 billion in 2023, up almost 31 per cent on the previous year, with the region's total receipts running above pre-pandemic levels. More tellingly, visitors from within the region accounted for about 40 per cent of EAC arrivals in 2023, against 33.2 per cent in 2019. The share rose through the pandemic years and has not gone back. The customer who has been growing fastest is already inside the bloc, travelling between its capitals, and is the customer least served by a long-haul campaign and most punished by the cost of moving around.

Which brings in the file that was not on last Thursday's agenda at all. Air connectivity between the region's gateways sits with transport ministers, not tourism ones, and it is where the single-destination promise is priced. Kenya's travel agents have long argued that Nairobi to Entebbe, Nairobi to Kigali and Nairobi to Dar es Salaam rank among the most expensive routes per seat anywhere, with regulatory charges a large share of the fare, and

that only a handful of regional states have joined the Single African Air Transport Market. The African Development Bank has estimated that high ticket prices deter close to 30 per cent of prospective passengers in the region. Those figures circulate widely in regional advocacy and should be treated as indicative rather than audited. The direction of them is not in dispute by anyone selling a two-country itinerary.

The trade's own reading of regional integration has been consistently cooler than the ministerial one. Joseph Kithitu, chairperson of the Kenya Association of Travel Agents, told Tourism Update in August that marketing East Africa as one destination "would be a game changer for the region's tourism industry", then named the constraint in the same breath: "each destination also wants to protect and promote its own brand." Bainito Musumba, sales manager at Private Safaris, was blunter. "I think any joint venture is still a very long distance away," he said. "Historically, we don't trust each other, especially Kenya."

That is the honest state of the thing. National tourism boards run separate budgets, separate campaigns and separate arrival targets, and a regional brand sits on top of them without authority over any of it. No account of last week's meeting carried a budget figure for the ten-year strategy. The Secretariat thanked GIZ, the European Union, TradeMark Africa, IUCN and the Regional Centre for Mapping of Resources for Development for continued support, with no amounts stated. A marketing strategy with an unnamed budget, administered by a secretariat with no spending power over national boards, is a coordination document, and it should be planned against as one.

The deadline makes all of this urgent in a way the previous decade's versions were not. The 2027 Africa Cup of Nations, co-hosted by Kenya, Uganda and Tanzania, runs from 19 June to 17 July 2027. It is the first time the region will handle a genuinely multi-country influx of visitors on a fixed date, and it is the one occasion on which the single-destination claim will be tested by people rather than brochures. A fan flying into Nairobi for a group match and on to Dar es Salaam for a quarter-final will discover, at the counter, exactly how many visas East Africa sells.

For an operator budgeting the next eighteen months, the practical reading of Arusha is narrow and useful. Do not build a 2027 product on the single tourist visa: its next milestone is a comment deadline, not a launch, and no partner state has committed to a date. Price the visa friction into multi-country itineraries now, explicitly, as a line the client sees, because the alternative is absorbing it at the point of sale. Treat classification as the real opportunity and get into the national exercise early enough to carry a gazetted regional plaque into the 2027 contracting round, while remembering that your plaque is only as good as the assessor capacity behind it. Build cross-border product bilaterally, with partners whose borders and fares you can actually test, rather than waiting for a regional package to arrive from a secretariat. And treat the campaign as free upside on top of your own channel, never as a substitute for it.

The brand was renewed last Thursday for ten years. The transaction was renewed for six weeks, until 30 November, when the comments come in.

THE LEDGER

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